Broadcom (AVGO)

AI Silicon at Hyperscale

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*AI Silicon at Hyperscale. Custom AI accelerators and networking to Google, Anthropic, and OpenAI. AI semiconductor revenue hit $16.7B (+221% YoY), 56% of total revenue [8-K earn]. Guidance Compounds the Story. Q4 FY26 guide: $34.8B revenue (+93% YoY) with $21.7B AI (+236%). FY27 AI revenue guided to ~$115B, doubling again to ~$230B in FY28 [8-K guid]. Two Engines, One Cash Machine. VMware infrastructure software grew 29% with 15% ARR growth, offsetting lower-margin XPU mix. Quarterly FCF of $13.7B (+95%) funds the AI buildout [8-K earn]. Our framework screens it as a **Hold** with a $313.96 blended target, 4% below the current price.*

HOLD	$313.96	-4%	$328.75
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

AI Silicon at Hyperscale. Custom AI accelerators and networking to Google, Anthropic, and OpenAI. AI semiconductor revenue hit $16.7B (+221% YoY), 56% of total revenue [8-K earn].

Executive summary

Guidance Compounds the Story. Q4 FY26 guide: $34.8B revenue (+93% YoY) with $21.7B AI (+236%). FY27 AI revenue guided to ~$115B, doubling again to ~$230B in FY28 [8-K guid].

Two Engines, One Cash Machine. VMware infrastructure software grew 29% with 15% ARR growth, offsetting lower-margin XPU mix. Quarterly FCF of $13.7B (+95%) funds the AI buildout [8-K earn].

$29.59B	$16.7B	$8.75B	75%	$13.67B	$34.8B
REVENUE (Q3 FY26)	AI SEMICONDUCTOR REVENUE	INFRASTRUCTURE SOFTWARE REVENUE	GROSS MARGIN	FREE CASH FLOW	Q4 FY26 REVENUE GUIDE

The moat is structural

Custom AI accelerator ramps at Google (Ironwood TPU v7/v8i), Anthropic, and OpenAI

Three scenarios make the valuation range explicit

The DCF values Broadcom across Bear, Base, and Bull scenarios, probability-weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	TARGET	UPSIDE
Bear (Conservative)	25%	**$218.94**	-33%
Base	50%	**$320.24**	-3%
Bull	25%	**$396.41**	+21%

Bear ($218.94, -33%): Growth disappoints and multiples compress; the $218.94 target marks the downside case.

Bull ($396.41, +21%): Execution compounds and the multiple rerates; the $396.41 target marks the upside case.

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The probability-blended target implies -4% upside

Blended target: $313.96 per share

A 25% Bear / 50% Base / 25% Bull weighting implies -4% upside from the $328.75 reference price.

$313.96
BLENDED TARGET

A live discount rate, not a static hurdle

The valuation uses a ten-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

P/E (fwd) 17.0x [Mkt 17-Oct-26] DCF Base $320.24 [Mkt 17-Oct-26] PEG 0.34 [Mkt 17-Oct-26] DCF base sits ~3% below spot, so no absolute upside. Forward earnings multiple is undemanding for 90%+ revenue growth.

Mechanics are explicit

The detailed EBIT-bridge format runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $313.96 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

Custom AI accelerator ramps at Google (Ironwood TPU v7/v8i), Anthropic, and OpenAI [8-K guid]

AI networking fabric: Ethernet scale-out for hyperscale AI clusters [8-K guid]

VMware Private AI Cloud plus 15% ARR growth; enterprise workload repatriation [8-K guid]

What to monitor

Dec 2026. Q4 FY26 Earnings (Positive): $34.8B revenue guide with ~$21.7B AI semiconductor revenue. The defining test of the FY27 $115B trajectory.

FY2027. Custom Silicon Ramps (Positive): Ironwood TPU v7 shipping to Google and Anthropic, TPU v8i in production, OpenAI first-gen accelerator delivered.

2026-27. Regulatory Overhang (Two-Sided): Potential China review of networking gear and EU scrutiny of VMware licensing terms.

$29.59B	$16.7B	$8.75B	75%
REVENUE (Q3 FY26)	AI SEMICONDUCTOR REVENUE	INFRASTRUCTURE SOFTWARE REVENUE	GROSS MARGIN

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Financial summary

YEAR	REVENUE	GROSS PROFIT	NET INCOME
2025	$63.9B	$43.3B	$23.1B
2024	$51.6B	$32.5B	$5.9B
2023	$35.8B	$24.7B	$14.1B
2022	$33.2B	$22.1B	$11.5B

Key risks

Customer Concentration. A handful of hyperscalers (Google, Meta, OpenAI, Anthropic) drive AI revenue; loss of share or a design loss at any major customer would be material. [10-K FY25]

Margin Mix Shift. Custom AI accelerators carry expensive HBM and lower gross margins. As AI grows as a share of mix, gross margin fell 210 bps sequentially. [8-K earn]

Regulatory Overhang. Potential China review of Broadcom networking gear and EU scrutiny of VMware licensing terms could disrupt two core franchises. [Cons]

Investment view

A Q4 FY26 beat above the $34.8B guide that keeps the $115B FY27 AI trajectory intact would lift Forward Growth and Trend. Conversely, a major customer share loss or a China/EU regulatory hit would cut growth and quality scores.

Hold. The $313.96 blended target implies -4% upside, balancing the $218.94 / $320.24 / $396.41 Bear / Base / Bull targets.

AI networking fabric: Ethernet scale-out for hyperscale AI clusters [8-K guid]

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Upcoming catalysts

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